Entry Without Future Retention Restrictions

No future retention: common cohorts / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.056***	-0.005	-0.073***	-0.067***
	(0.014)	(0.007)	(0.017)	(0.015)
p	0.0000	0.4565	0.0000	0.0000
Observations	366,544	366,544	366,544	366,544
Treated firms	238	238	238	238
Control firms	4,344	4,344	4,344	4,344

No future retention: common cohorts / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.022*	-0.082***	-0.017
	(0.012)	(0.018)	(0.010)
p	0.0621	0.0000	0.1074
Observations	366,544	366,544	366,544
Treated firms	238	238	238
Control firms	4,344	4,344	4,344

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.